

computed the success of a “Robin Hood” policy of investing with the least successful manager in a given population of managers. It consists in switching down by taking money away from the winner and allocating it to the loser. This goes against the prevailing wisdom of investing with a winning manager and taking away money from a losing one. Doing so, their “paper strategy” (i.e. as in a Monopoly™ game, not executed in real life) derived considerably higher returns than if they stuck to the winning manager. Their hypothetical example seemed to them to prove that one should not stay with the best manager, as we would be inclined to do, but rather switch to the worst manager, or at least such seems to be the point they were attempting to convey.

Their analysis presents one severe hitch that any graduate student in financial economics should be able to pinpoint at the first reading. Their sample only had *survivors*. They simply forgot to take into account the managers who went out of business. Such a sample includes managers that were operating during the simulation, and *are still operating today*. True, their sample included managers who did poorly, but only those managers who did poorly and recovered, without getting out of business. So it would be obvious that investing with those who fared poorly at some point, but recovered (with the benefit of hindsight) would yield a positive return! Had they continued to fare poorly, they would be out of business and would not be included in the sample.

How should one conduct the proper simulation? By taking a population of managers in existence, say, five years ago and running the simulation until today. Clearly, the attributes of those who leave the population are biased towards failure; few successful people in such a lucrative business call it quits for making too much money. Next we turn to a more technical presentation of these issues.

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IT IS EASIER TO BUY AND SELL THAN FRY AN EGG

Some technical extensions of the survivorship bias. On the distribution of “coincidences” in life. It is preferable to be lucky than competent (but you can be caught). The birthday paradox.

More charlatans (and more journalists). How the researcher with work ethics can find just about anything in data. On dogs not barking.

This afternoon I have an appointment with my dentist (it will mostly consist in the dentist picking my brain on Brazilian bonds). I can state with a certain level of comfort that he knows something about teeth, particularly if I enter his office with a toothache and exit it with some form of relief. It will be difficult for someone who knows literally nothing about teeth to provide me with such relief, except if he is particularly lucky on that day – or has been very lucky in his life to become a dentist while not knowing anything about teeth. Looking at his diploma on the wall, I determine that the odds that he repeatedly gave correct answers to the exam questions and performed satisfactorily on a few thousand cavities before his graduation – out of plain randomness – are remarkably small.

Later in the evening, I go to Carnegie Hall. I can say little about the pianist; I even forgot her unfamiliar foreign sounding name. All I know